Colorado Financial Questions & Answers

Q1: What is Colorado's state income tax structure?

A: Colorado utilizes a flat individual income tax rate of 4.40% for the tax year 2026, applying uniformly to all taxable income levels regardless of filing status.

Q2: How does Colorado handle property tax calculations?

A: Property taxes are calculated using an assessment rate applied to the actual market value of the property, which is then multiplied by local mill levies. Colorado ranks among the lowest states for effective property tax rates due to structural assessment caps.

Q3: What is the state sales tax rate and how do local overrides work?

A: The base state sales tax rate is 2.9%. However, local municipalities, counties, and special districts (like the Regional Transportation District) add their own overrides, often raising the total combined sales tax to between 7% and 9% depending on the city.

Q4: Are social security benefits taxed in Colorado?

A: For taxpayers aged 65 and older, Colorado allows a full deduction of Social Security benefits from state taxable income. Taxpayers aged 55 to 64 can deduct up to $20,000 of retirement income, including Social Security.

Q5: Does Colorado have a state-level estate or inheritance tax?

A: No, Colorado does not levy a state inheritance tax or an estate tax. The state estate tax was tied to the federal credit, which was eliminated, meaning no state-level wealth transfer tax applies.

Local Cost of Living (COL) Comparison Index

This comparative framework provides an institutional baseline indexing living costs relative to the national average (set at 100.0).

State Jurisdiction	Composite COL Index	Housing Cost Metric	State Income Tax Burden
Colorado	105.5	118.2	4.40% Flat Rate

State Jurisdiction	Composite COL Index	Housing Cost Metric	State Income Tax Burden
Connecticut	114.8	124.6	3.00% – 6.99% Progressive
Delaware	100.8	101.4	2.20% – 6.60% Progressive
Florida	102.1	108.5	0.00% (None)
Georgia	94.2	86.7	5.39% Flat Rate

Source: Aggregated regional financial metrics adjusted for the 2026 fiscal period.

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